

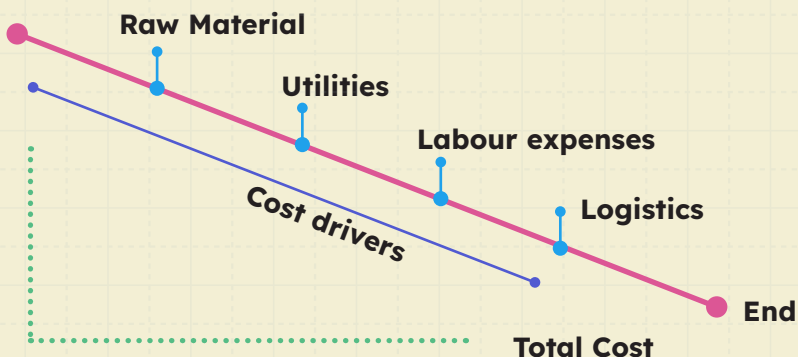
	Cost of operations	Cost of product	Scale of product
Chinese industry	↓	↓	↑
Random other industry	↑	↑	↓

A company might have a cost advantage by keeping the total fixed cost itself low. If a company achieves lower per-unit variable costs than its competitors, it can enjoy higher profits, higher market share, or both.

Advantages in variable and fixed costs can arise out of innovation, patented technologies, and geographical location.

COST DRIVERS

If a company's advantage has not yet started reaping benefits clear to observe from financials, you may still find numbers to back its existence. For instance, a social media company could have an advantage over its competitors that allows it to provide higher engagement for its clients



EXAMPLE

For instance, an IPL team needs players and support staff to function. A major source of expense for IPL teams is player auctions. There are various rules to be considered here, of which we must pay attention to retention rules and spending caps.